

# Product Teardown

## Meesho - Empowering the Social Entrepreneur

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Analyzing the referral system to understand its impact, user experience, and growth potential.

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## Ecommerce Market

Indian E-commerce Market (US\$ billion)



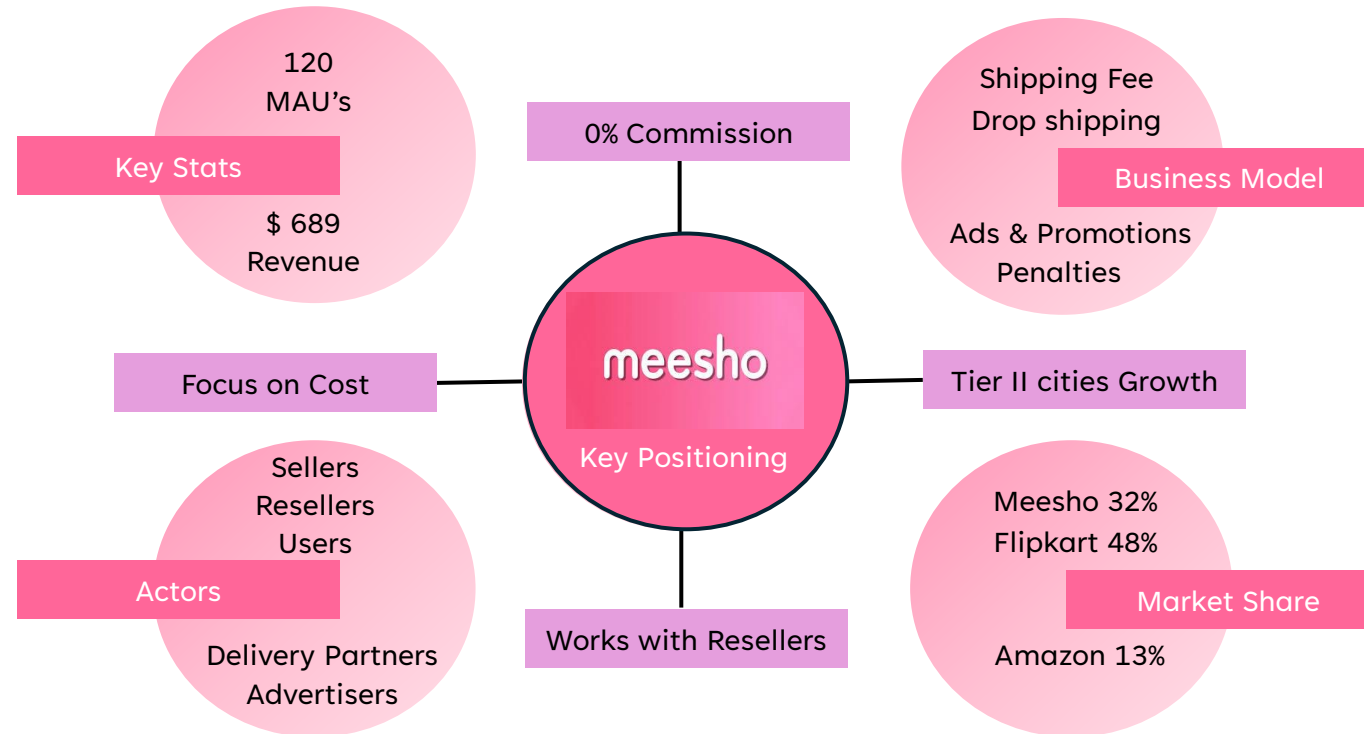
Source: News articles, F- Forecasted

### Key Stats

- Tier 2+ cities are only at 6 percent penetration as compared to 13% Tier 1
- E-commerce market share of tier 3 cities grew from 34.2% in 2021 to 41.5%
- Order volumes from tier 3 markets grew 64.7% in 2022 compared to a year ago,
- Tier 2 markets also clocked an impressive 50.9% on volumes

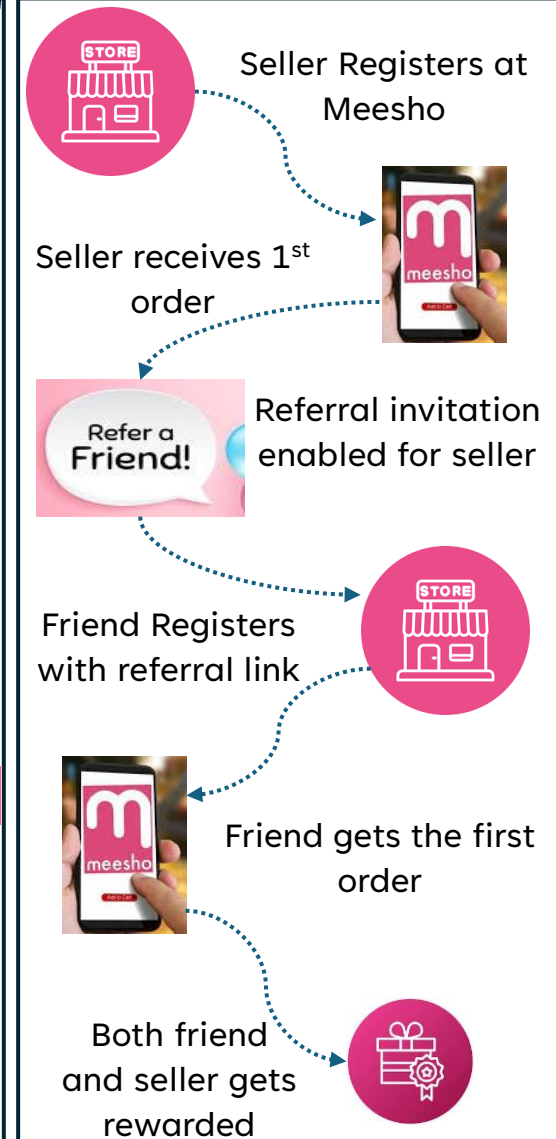
## PRODUCT OVERVIEW

**About the Company** - Meesho is an e-commerce marketplace, it positions itself as a horizontal platform that offers a wide range of products and meets the everyday needs of Indian shoppers



**User growth:** Meesho has been the fastest-growing e-commerce platform in India in terms of users. In December 2023, Meesho acquired 32% more users, while Amazon India only acquired 13%.

## Referral System



## Product Research

**Affordable Pricing:** Users appreciate Meesho's wide selection of products at low prices, making it a budget-friendly shopping option.

**Return and Refund Challenges:** Sellers have expressed concerns about receiving returned products that were damaged from what was originally sent.

**Low Ratings:** Meesho holds a low rating of 1.48 out of 5 stars, based on 25,017 votes, indicating significant customer dissatisfaction

# User Segments



Creator Housewives  
Tier 2 & 3 cities

Sellers



SME Owners



Resellers



Low budget conscious  
shoppers



First time internet  
users

Buyers

Jobs to be done – Earn some  
extra income



Shobha – Age 37 (Nashik)

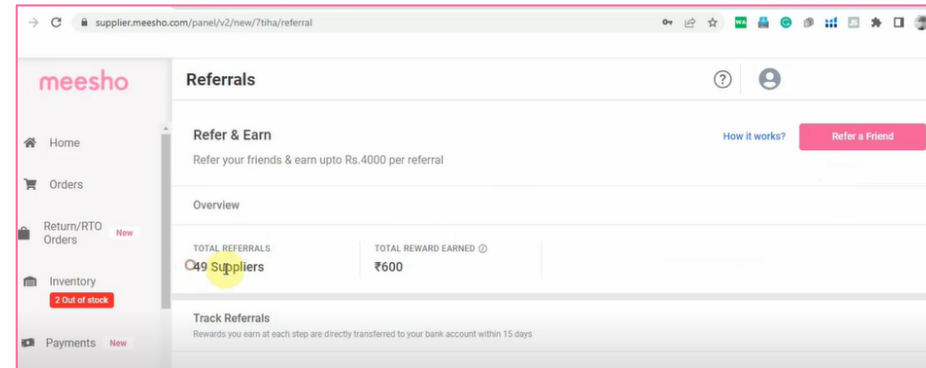
**Goal** – To sell items created  
**Needs** –

- A platform which gives a good amount of price
- Easily products can be added
- Get some monetary benefit

**Pain Points**

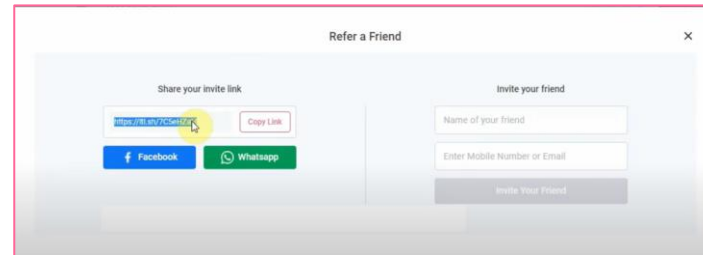
- Difficult to handle a lot of products
- Cannot keep track of what is sold or what sells more
- Difficult to go out and ship by themselves
- Same time money transfer due to need of funds

## Referrer and Referee Journey



Seller clicks on refer a  
friend button

2



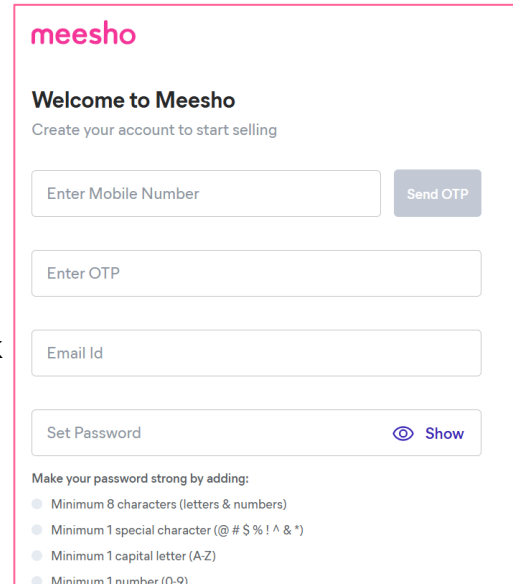
3

The referral link is  
created for the friend  
which can be shared via  
different platform

The referee gets the link  
and creates the new  
account

4

1  
Seller goes to the  
referral page.  
The referral page shows  
summary of the overall  
referrals



Jobs to be done – Make  
Revenue as Business



Rakesh – Age 42  
(SME Owner Ahmedabad)

**Goal** –To sell items manufactured  
**Needs** –

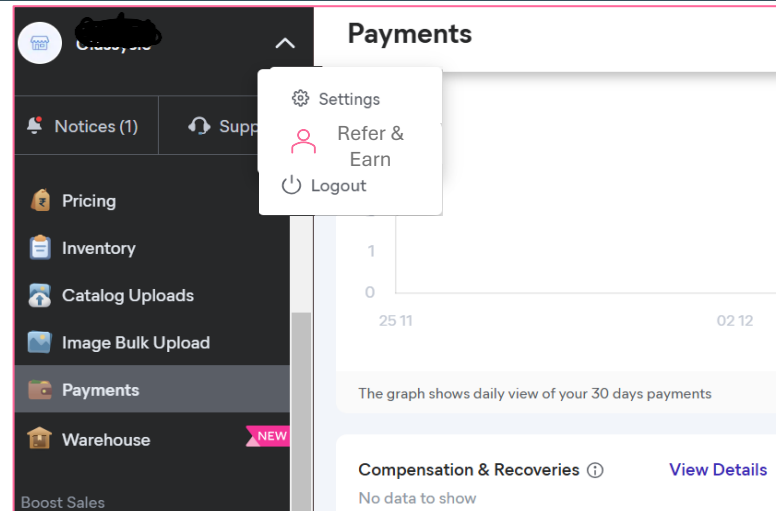
- Wants to make an online presence to catchup with competition
- Share the products with smaller dealers

**Pain Points**

- Does not understand much about the other features other than the selling feature
- Limited benefits while sharing the platform with fellow sellers

# User Emotions

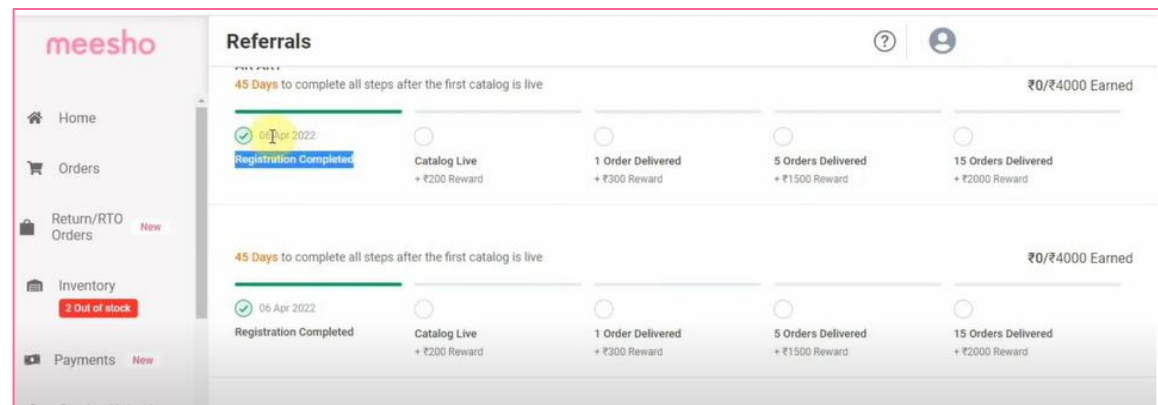
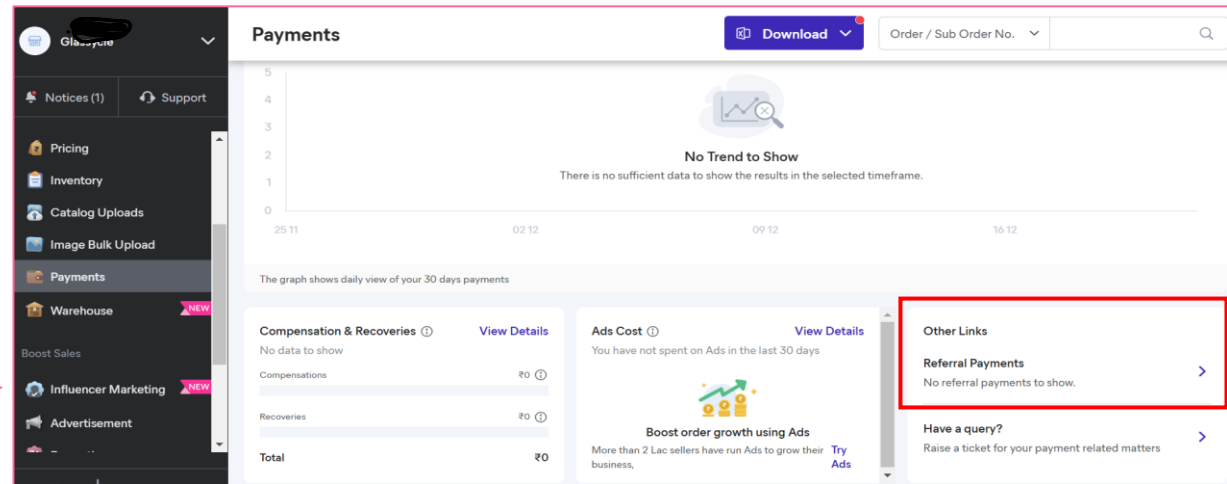
|             | Awareness/Discovery (Referrer)                                                                         | Refer and Share (Referrer & Referee )                                                                    | Signup/Login (Referee)          | Post Referral (Both)    |
|-------------|--------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------|---------------------------------|-------------------------|
| Thoughts    | Where is the refer and earn scheme ?                                                                   | How does the scheme work ?                                                                               | How to sign up using the link ? | Where are the rewards ? |
| Emotions    | 🤔                                                                                                      | 👉                                                                                                        | 😊                               | 😁                       |
| Touchpoints | Refer and Earn Tab /  | Refer and Earn Tab /  | Login Page                      | Payments & Rewards Page |



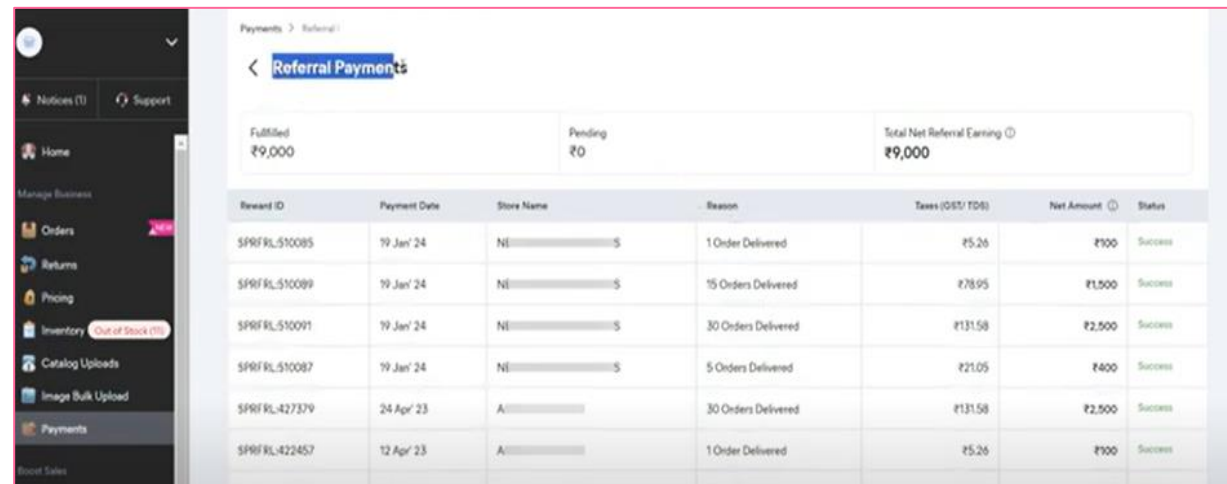
## After Referral Journey

The referrer goes to the refer and earn dashboard

The referee can check the rewards in the referral payments



The dashboard is displayed with the summary of reviews and details about , what is the referee status, and the rewards received for the required tasks performed for rewards



The referee can check the rewards in the referral payments



## Key Aspects UI/UX

- Clear summary & overview of the referral system
- Refer a friend is clearly visible with the pink colour tab on white background
- Easy share option of the referral link via WhatsApp and Facebook
- Smooth account creation process with phone and email followed by OTP for security
- Progress bar for each referral, showcasing your earning the referral, status of steps and time left for earning the full potential of the referral money
- The green progress bar on referral dashboard and tick mark for status check
- Payments showing the earnings received from the referral with success/failure mark in green and red respectively

## Recommendations

- Flagging where the referral system is present
- Adding clear instructions for the initial criteria of becoming a referrer as the first-time seller does not see the tab for referral until first successful order
- The referral payment link should be included in the same referral dashboard to provide all features at one place
- Gamification in place at each step completion to encourage sellers

## Learnings

| Criteria                                                                                                                               | Amazon                                                                                 | Meesho                                                                                                        |
|----------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|
| <b>1. Number of Sellers</b>                                                                                                            | 6 million active sellers worldwide                                                     | 15 million sellers in India.                                                                                  |
| <b>2. Maximum Referral Amount</b>                   | Referrer - Up to ₹15,000 per referral<br>Referee - Up to ₹600                          | Referrer - Up to ₹40,000 per referral<br>Referee - Up to ₹1000                                                |
| <b>3. Referral Scheme Differences Eligibility:</b>  | Existing sellers with a Professional plan.                                             | Open to individuals and businesses<br>With one at least one order processed                                   |
| <b>Process:</b>                                     | Unique referral link;<br>Referee must register and list products.                      | Help onboard new sellers and assist in their growth on the platform<br>Referee must process atleast one order |
| <b>Rewards:</b>                                     | Both referrer and referee receive rewards after onboarding criteria met.               | Earnings depend on the onboarded seller's performance and sales.                                              |
| <b>4. Referral Amount Disbursement</b>              | Credited to the referrer's account after referred seller is active and meets criteria. | Payouts based on sales and growth of onboarded sellers, capped at ₹40,000.<br>Credited after 7 days of order  |
| <b>5. UI/UX Differences</b>                       | Managed through Seller Central<br>Feature-rich dashboard.                              | STAR Management Panel<br>Designed for simplicity and ease of use.                                             |
| <b>6. Other Important Aspects</b>                                                                                                      | <b>Global Reach:</b> Access to international customers.                                | <b>Zero Commission:</b> Sellers list products without commission fees.                                        |
|                                                                                                                                        | <b>Brand Registry Benefits:</b> Includes the Brand Referral Bonus program.             | <b>Training Support:</b> Resources to assist new sellers in navigating the platform.                          |

## Comp Research

## Metrics

| Metric Type                                                                                                | Metric Name                                                                                                                                                  | Metric Formula/ Description                                                                                                                                                                                                                                                              |
|------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>North Star Metric</b>  | Total No of Sellers Onboarded via Referral                                                                                                                   | The goal of the scheme is to increase seller acquisition                                                                                                                                                                                                                                 |
| <b>Awareness</b>                                                                                           | Awareness rate                                                                                                                                               | Total Unique Refer and Share Page visits / Total Active Seller's on Meesho App                                                                                                                                                                                                           |
| <b>Activation</b>                                                                                          | Referral rate<br>Acceptance rate                                                                                                                             | Total No of Referrals created / Unique Sellers who created referrals (Monthly/ Quarterly)<br>Total Referrals Clicked by users / Total Referrals sent                                                                                                                                     |
| <b>Acquisition</b>                                                                                         | Account Creation rate<br>Referral Success Rate<br>- Catalog live rate<br>- 1 Order delivered rate<br>- 5 Orders delivered rate<br>- 15 Orders delivered rate | No of unique account created/ Total No of Referrals created<br>No of Unique account who completed registration/ Total Unique accounts created<br>- Criteria met                                                                                                                          |
| <b>Retention</b>                                                                                           | Seller Retention Rate via Referral                                                                                                                           | No of Active Accounts via referral/ Total Accounts created – Quarterly/Yearly                                                                                                                                                                                                            |
| <b>Revenue</b>                                                                                             | Seller Acquisition Cost<br>Average Referrer Earnings<br>Average Referee Earnings                                                                             | Average Amount Spend per acquired seller from referral<br>Total earnings from referral / Total successful referrals<br>Total earnings from getting referral / Total successful accounts created                                                                                          |
| <b>Failure</b>                                                                                             | Total Revenue / Seller<br>Total Active Sellers<br>No of Active Users (Monthly/Quarterly)                                                                     | To check if average revenue per seller is decreased or not<br>To keep a check if the current seller are not leaving as new seller arrives<br>To keep a check if the Active users have not decreased due to a lot of sellers onboarding (That is to check decrease in quality of sellers) |
| <b>Satisfaction</b>                                                                                        | Seller Satisfaction Score<br>Customer Satisfaction Score                                                                                                     |                                                                                                                                                                                                                                                                                          |

THANK YOU

